

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



ASIA ASSET
FINANCE PLC

The unconventional finance company

For the year ended 31st March 2017

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STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31ST MARCH, 2017

	For the Quarter Ended			For The Year Ended		
	31.03.2017 LKR Unaudited*	31.03.2016 LKR Unaudited*	Change %	2016/2017 LKR Audited	2015/2016 LKR Audited	Change %
Interest income	559,233,632	374,277,162	49%	2,020,556,957	1,265,001,829	60%
Less: Interest expenses	(249,814,607)	(163,578,629)	53%	(919,297,655)	(592,688,880)	55%
Net Interest income	309,419,025	210,698,533	47%	1,101,259,302	672,312,949	64%
Net Trading gain/(loss) on held for trading securities	(21,741)	(6,188,234)	-100%	2,326,220	(7,947,048)	71%
Other operating income	26,007,067	33,072,069	-21%	107,724,399	126,754,722	-15%
Less: Operating expenses						
Personnel expenses	(82,837,564)	(69,755,774)	19%	(335,295,267)	(249,869,486)	34%
Provision for staff retirement benefits	(1,306,571)	(2,387,889)	-45%	(4,906,571)	(3,123,711)	57%
General and administration expenses	(74,068,945)	(58,379,743)	27%	(270,042,164)	(197,588,640)	37%
Impairment charge for lease rentals receivable, hire purchase, loans and advances	(62,348,081)	(18,280,938)	241%	(227,348,081)	(83,947,606)	171%
Operating profit before value added tax on financial services	114,843,190	88,778,024	29%	373,717,838	256,591,180	46%
Value added tax on financial services	(22,741,421)	(22,271,900)	2%	(57,841,421)	(47,358,658)	22%
Operating profit before income tax	92,101,769	66,506,124	38%	315,876,417	209,232,522	51%
Income tax expense	(6,327,608)	(11,867,504)	-47%	(37,827,608)	(34,014,398)	11%
Profit for the year	85,774,161	54,638,620	57%	278,048,809	175,218,124	59%
Other comprehensive income not to be reclassified to profit or loss in subsequent periods (net of tax)						
Actuarial gain/(loss) on retirement benefit liability	(2,100,296)	837,345	-351%	(2,100,296)	837,345	-351%
Deferred tax effect on components of other comprehensive income	(588,083)	(234,457)	151%	(588,083)	(234,457)	151%
Other comprehensive income for the year net of tax	(2,688,379)	602,888	-546%	(2,688,379)	602,888	-546%
Total comprehensive income for the year	83,085,782	55,241,508	50%	275,360,430	175,821,012	57%
Earnings per share - basic	0.40	0.26	50%	0.33	0.21	59%

Figures in brackets indicate deductions.

ASIA ASSET FINANCE PLC
STATEMENT OF FINANCIAL POSITION
AS AT 31ST MARCH, 2017

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ASSETS

Cash and cash equivalents	601,891,827
Investment in reverse repurchase agreements against treasury bills and bonds	433,333,648
Other financial assets	-
Financial assets - Held for trading	50,204,691
Loans and advances	6,838,366,400
Lease rentals receivable and hire purchase	1,424,679,822
Real estate inventories	-
Other assets	15,626,098
Advances, deposits and prepayments	64,760,286
Financial assets - available for sale	506,659
Property, plant and equipment	161,931,102
Investment property	306,253,164
Deferred tax assets	118,202,709
Intangible assets	11,179,033
Total assets	10,026,935,439

LIABILITIES

Due to banks	36,031,902
Other liabilities	46,791,280
Current tax liabilities	30,749,073
Other borrowed funds	2,476,518,223
Due to customers	5,681,178,140
Retirement benefit obligation	18,774,955
Total liabilities	8,290,043,573

EQUITY

Stated capital	1,388,935,273
Retained earnings	288,608,924
Statutory reserve fund and other reserves	59,347,669
Total equity	1,736,891,866
Total equity and liabilities	10,026,935,439

Net assets value per share

31.03.2017 LKR Audited*	31.03.2016 LKR Audited*	Change %
601,891,827	690,797,870	-12.9%
433,333,648	328,866,266	31.8%
-	8,817,330	-100.0%
50,204,691	48,244,689	4.1%
6,838,366,400	4,825,421,160	41.7%
1,424,679,822	1,702,419,253	-16.3%
-	34,468,475	-100.0%
15,626,098	14,958,827	4.5%
64,760,286	60,178,750	7.6%
506,659	506,659	-
161,931,102	145,026,853	11.7%
306,253,164	143,706,564	113.1%
118,202,709	100,402,344	17.7%
11,179,033	11,585,662	-3.5%
10,026,935,439	8,115,400,702	23.6%
36,031,902	166,925,303	-78.4%
46,791,280	40,410,784	15.8%
30,749,073	28,044,517	9.6%
2,476,518,223	1,609,833,175	53.8%
5,681,178,140	4,796,299,899	18.4%
18,774,955	12,355,588	52.0%
8,290,043,573	6,653,869,266	24.6%
1,388,935,273	1,388,935,273	-
288,608,924	27,016,515	968.3%
59,347,669	45,579,648	30.2%
1,736,891,866	1,461,531,436	18.8%
10,026,935,439	8,115,400,702	23.6%
2.07	1.74	18.8%

Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 31st March 2017 and its profit for the year ended 31st March 2017.

Sgd

Geethika Elwalage
Assistant General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of the Financial Statements.

Approved and Signed for and on behalf of the Board.

Sgd

Thusitha Perera
Director

Sgd

Manohan Nanayakkara
Chairman

	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Investment Fund Reserve Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 31st March, 2015	1,388,935,273	3,000,000	33,788,597	-	(140,013,446)	1,285,710,424
Total comprehensive income for the year						
Profit for the year	-	-	-	-	175,218,124	175,218,124
Other comprehensive income (net of tax)	-	-	-	-	602,888	602,888
Total comprehensive income for the year	-	-	-	-	175,821,012	175,821,012
Transaction with equity holders recognized directly in equity						
Transfers to reserves	-	-	8,791,051	-	(8,791,051)	-
Total transactions with equity holders	-	-	8,791,051	-	(8,791,051)	-
Balance as at 31st March, 2016 (Audited)	1,388,935,273	3,000,000	42,579,648	-	27,016,515	1,461,531,436
Total comprehensive income for the year						
Profit for the year	-	-	-	-	278,048,809	278,048,809
Other comprehensive income (net of tax)	-	-	-	-	(2,688,379)	(2,688,379)
Total comprehensive income for the year	-	-	-	-	275,360,430	275,360,430
Transaction with equity holders recognized directly in equity						
Transfers to reserves	-	-	13,768,021	-	(13,768,021)	-
Total transactions with equity holders	-	-	13,768,021	-	(13,768,021)	-
Balance as at 31st March, 2017 (Audited)	1,388,935,273	3,000,000	56,347,669	-	288,608,924	1,736,891,866

Figures in brackets indicate deductions.

	Note	31.03.2017 Audited* Rs.	31.03.2016 Audited* Rs.
Cash flows from operating activities			
Profit before income tax		315,876,417	209,232,522
Adjustments for			
Depreciation and amortization	21 & 23	33,953,124	24,225,092
Impairment of lease hire purchase, loans and advances	8	227,348,081	83,947,606
Early termination of Loans, Leases and HP Loans		(9,030,429)	-
Write off of assets held for sale		-	71,958
Profit on sale of held for trading securities		(542,266)	(54,379)
Gain/loss on fair valuation of held for trading securities		(1,723,007)	8,001,428
Gains from sale of property, plant and equipment, investment property and real estate inventories		194,150	(18,365,918)
Gain from disposal of vehicle stock		-	(744,665)
Provision for retirement benefit liability	29	4,906,571	3,123,711
Interest expense on other borrowings		263,993,473	98,247,817
Cash generated from operations before working capital changes		834,976,114	407,685,172
(Increase)/decrease in lease rentals receivable and hire purchase		147,505,181	(614,351,617)
(Increase)/decrease in loans and advances		(2,269,746,499)	(1,938,050,520)
(Increase)/decrease in other receivables		(667,273)	9,008,035
(Increase)/decrease in deposits and prepayments		(4,581,536)	(12,917,102)
(Increase)/decrease in financial assets - loans and receivables		-	437,505
Increase in deposits from customers		884,878,241	1,124,119,669
Increase/(decrease) in other liabilities		(6,380,496)	(8,857,055)
Net cash used in operating activities before income tax payments		(414,016,268)	(1,032,925,913)
Taxes paid		(45,254,677)	(4,820,000)
Gratuity paid		(587,500)	(315,000)
Net cash used in operating activities		(459,858,445)	(1,038,060,913)
Cash flows from / (used in) investing activities			
Acquisition of property, plant and equipment	20	(55,426,269)	(115,217,843)
Acquisition of intangible assets		(2,200,000)	(2,340,648)
Acquisition of investment property	21	(195,000)	(2,000,000)
Proceeds from sale of investment property		9,500,000	18,494,290
Proceeds from sale of real estate inventories		32,450,000	16,680,000
Proceeds from sale of vehicle inventories		-	47,964,091
Purchases of held for trading securities		(150,000,000)	(128,796)
Proceeds from sales of held for trading securities		159,122,879	13,350,540
Proceeds from sales of property, plant and equipment		10,370,000	38,805,173
Net cash used in investing activities		3,621,610	15,606,807
Cash flows from / (used in) financing activities			
Repayment of other borrowed funds	27	(1,239,515,235)	(342,122,895)
Proceeds from other borrowed funds	27	1,842,206,810	1,511,155,419
Net cash generated from financing activities		602,691,575	1,169,032,524
Net increase in cash and cash equivalents		146,454,740	146,578,418
Cash and cash equivalents at the beginning of the year	A	852,738,833	706,160,415
Cash and cash equivalents at the end of the year	B	999,193,573	852,738,833
At the beginning of the Year			Note A
Cash and cash equivalents		690,797,870	446,524,236
Investment in reverse repurchase agreements against treasury bills and bonds		328,866,266	259,698,505
Bank overdraft		(166,925,303)	(62,326)
		852,738,833	706,160,415
At the end of the year			Note B
Cash and cash equivalents		601,891,827	690,797,870
Investment in reverse repurchase agreements against treasury bills and bonds		433,333,648	328,866,266
Bank overdraft		(36,031,902)	(166,925,303)
		999,193,573	852,738,833

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 47 form an integral part of these financial statements.

	Finance lease		Hire purchase		Loans and advances		Investment		Other		Total	
	31.03.2017	31.03.2016	31.03.2017	31.03.2016	31.03.2017	31.03.2016	31.03.2017	31.03.2016	31.03.2017	31.03.2016	31.03.2017	31.03.2016
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest income	293,976,605	243,917,442	39,716,631	88,494,113	1,598,088,546	878,266,791	88,775,175	54,323,483	-	-	2,020,556,957	1,265,001,829
Other income	6,579,036	18,368,400	923,674	5,647,874	92,186,594	70,889,699	3,204,360	(2,277,421)	7,156,955	26,179,122	110,050,619	118,807,674
Total revenue	300,555,641	262,285,842	40,640,306	94,141,988	1,690,275,139	949,156,490	91,979,535	52,046,062	7,156,955	26,179,122	2,130,607,576	1,383,809,503
Segmental result	52,718,767	48,649,404	7,128,486	17,388,532	296,481,614	175,396,670	16,133,611	10,330,059	1,255,361	4,826,515	373,717,838	256,591,180
Value added tax on financial services											57,841,421	47,358,658
Profits from operations											315,876,417	209,232,522
Income tax charge/reversal for the year											(37,827,608)	(34,014,398)
Net profit for the year											278,048,809	175,218,124
Segment assets	1,263,638,485	1,317,971,719	161,041,337	384,447,534	6,838,366,400	4,825,421,160	483,538,339	385,928,285	-	-	8,746,584,562	6,913,768,698
Unallocated assets	-	-	-	-	-	-	-	-	1,280,350,877	1,201,632,004	1,280,350,877	1,201,632,004
Total assets	1,263,638,485	1,317,971,719	161,041,337	384,447,534	6,838,366,400	4,825,421,160	483,538,339	385,928,285	1,280,350,877	1,201,632,004	10,026,935,439	8,115,400,702
Segment liabilities	1,183,766,109	1,220,997,759	150,862,196	356,160,584	6,406,125,232	4,471,442,346	452,974,727	357,532,384	-	-	8,193,728,265	6,406,133,074
Unallocated liabilities									96,315,308	247,736,192	96,315,308	247,736,192
Total liabilities	1,183,766,109	1,220,997,759	150,862,196	356,160,584	6,406,125,232	4,471,442,346	452,974,727	357,532,384	96,315,308	247,736,192	8,290,043,573	6,653,869,266

In determining segment results, expenses have been allocated proportionately based on interest income and Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31st March 2016.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 31st March, 2017 (including comparatives) were approved and authorized for issue on 03rd May 2017 in accordance with a resolution of the board of directors on 03rd May 2017.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended 31st March, 2017 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments to or disclosure in the Financial statements.

07. Stated capital is represented by number of shares in issue as follows.

	31.03.2017	31.03.2016
Issued and Fully Paid Ordinary Shares (Quoted)	839,207,833	839,207,833

08. Market Value of Shares

	31.03.2017 Rs.	31.03.2016 Rs.
Highest Traded Price	1.50	1.70
Lowest Traded Price	1.20	1.20
Closing Price	1.30	1.30

09. There has been no significant change in the nature of the contingent liabilities/Assets for the year ended 31st March 2017 which were disclosed in the Annual Report for the year ended 31st March 2016.

10. Major 20 share holders as at 31st March 2017

NAME	No of Shares	(%)
1 Muthoot Finance Limited	503,524,700	60.00
2 J.B. Cocoshell (Pvt) Ltd	42,429,508	5.06
3 Seylan Bank PLC/Thirugnanasambandar Senthilverl	35,513,011	4.23
4 Pan Asia Banking Corporation PLC/Mr.Manohan Nanayakkara	22,655,745	2.70
5 Mrs. G.I. Vasunthara	17,175,002	2.05
6 Mr. S.D.R.Arudpragasam	16,302,070	1.94
7 People'S Leasing & Finance PLC/Mr.W.K.R.Jayakody	12,513,100	1.49
8 Mr. P.A.D.R.U. Pushpakumara	12,391,000	1.48
9 Mr.K.M.S.M.Razeek ,Mr.K.S.M.Rajubdeen & Mr.S.M.R.Mohamed	7,400,000	0.88
10 Elgin Investments Limited	6,141,761	0.73
11 Mr.P.P. Subasinghe	4,511,608	0.54
12 Code-Gen International Pvt Ltd	4,241,188	0.51
13 Mr.C.W. Gunasekara	4,155,000	0.50
14 Ceylon Biscuits Limited	3,750,000	0.45
15 Mr.W.Gunarathne	3,145,601	0.37
16 Mr.K.S.D.Senaweera	2,940,000	0.35
17 Mr.C.R.Perera	2,589,987	0.31
18 M Investments Lanka (Pvt) Ltd	2,578,578	0.31
19 Mr.D.Kotthoff	2,500,000	0.30
20 Waldock Mackenzie Limited/Mr.P.S.R Casie Chitty	2,258,804	0.27
	708,716,663	84.45
Othres	130,491,170	15.55
Total	839,207,833	100.000

No of Shareholders	% of Shareholdin
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11. Shares held by public as at 31st March 2017

2,565 37.13

12. Directors Share Holding

Name	No. of Shares 31.03.2017	%
Pan Asia Banking Corporation PLC / Mr. H.L.L.M. Nanayakkara	22,655,845	2.700
Mr.Rajiv James Abeywickrema Gunawardena	-	-
Ms.Dayangani Priyanthi Pieris	600,000	0.071
Mr.G.Alexander	-	-
Mr.Chandrakumar Ramachandra	800,000	0.095
Mr.R.A.T.P.Perera	-	-
Mr.K.R.Bijimon	-	-
Mr.K.G.K.Pillai	-	-
Mr.R.A.B. Basnayake	-	-

13 Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No.76/1, Dharmapala Mawatha, Colombo 03.

Telephone

011 5 66 99 22

Fax

011 2 57 74 77

E-mail

info@asiaassetfinance.lk

Website

<http://www.asiaassetfinance.lk/>

Board of Directors of the Company

Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Chandrakumar Ramachandra
Ms.Dayangani Priyanthi Pieris
Mr.Thusitha Perera
Mr. George Muthoot Alexander
Mr. Kuttikattu Rajappan Bijimon
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake

Company Secretary

P R Secretarial Services (Pvt) Ltd
59 Gregory Road,
Colombo 07.

Lawyers of the Company

Shiranthi Gunawardena Associates
No.22/1, Elliot Place,
Colombo 08.

Company Auditors - External

BDO Partners
65/2, Sir Chiththapalam A Gardiner Mawatha,
Colombo 02.

Bankers of the Company :

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
Pan Asia Banking Corporation PLC
People's Bank
Sampath Bank PLC
National Development Bank PLC
Seylan Bank PLC
Indian Bank

Audit Committee

Mr.Thusitha Perera
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Chandrakumar Ramachandra
Mr.Kuttikattu Rajappan Bijimon
Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Chandrakumar Ramachandra
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Thusitha Perera
Mr.Roshan De Silva Gunasekara (Chief Operating Officer)

Remuneration Committee

Mr.Chandrakumar Ramachandra
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Rajitha Ananda Bandara Basnayake

Related Party Transactions Review Committee

Mr.Chandrakumar Ramachandra
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Ms.Dayangani Priyanthi Pieris
Mr.Kuttikattu Rajappan Bijimon

IT committee

Mr.Rajitha Ananda Bandara Basnayake
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Chandrakumar Ramachandra
Ms.Dayangani Priyanthi Pieris